

Cyber Risk and Physical Damage



FEBRUARY 2023

In the movie the Italian Job (1969) a traffic jam was caused when Turin's traffic control computer was hacked. In the TV show Homeland (2012), a terrorist remotely hacked the pacemaker of the Vice President of the United States. These scenarios aren't just some speculative fiction to shock and entertain; cyber attacks can wreak havoc in the physical world.

The consequences of a cyber-attack could be non-physical, as in a data breach, or physical. A cyber attack could disrupt the process control or communication components of water pumps, pipeline valves, industrial environments (e.g. SCADA), or impact the safety and security functions in building controls or force an autonomous vehicle off the road.

The Lloyd's 2022 report, [Shifting powers: physical cyber risk in a changing geopolitical landscape](#), provides an overview of physical cyber risk and gives a number of scenarios how this physical cyber risk has already caused damage in the real world.

Organisations use technology across their operations, to communicate and also to run their operations and offices. Each environment has security exposures which need to be assessed and managed, whether Information Technology or Operational Technology. A system is only truly secure when it is isolated, when it is not linked (directly or indirectly) to an Internet connection. Firewalls are as useful as a perimeter to block unauthorized data transmissions between environments but are not 100% secure. They won't stop malware accidentally introduced through a trusted channel like email, and they can be exploited if they are incorrectly configured.

Organisations may believe their insurances already cover them for cyber incidents resulting in physical damage. This is not necessarily the case. In the affirmative market for cyber risk, Cyber insurance typically excludes physical damage while other commercial Property & Casualty insurances typically amend their policies to prevent "silent cyber" coverage.

Following the 2017 NotPetya global cyber security breach,

the commercial Property & Casualty industry made a push to clarify the extent offered for cyber events that results in physical damage. These clarifications often result in very limited cover or a broad exclusion for cyber risk. Exclusions on Property policies have led to the growth of stand-alone cyber insurance for physical damage (herein after "CZ").

LONDON MARKET INFORMATION

CZ is a blend of Property & Cyber market coverages and was written to sit within the gap created by Cyber exclusions on Property policies.

The main three options include:

- Cyber Wording with an affirmative Property Damage DIC endorsement
- Standalone option on a Cyber Property Damage policy
- Cyber wording with affirmative non-physical and physical coverages

There are numerous insurers in London who have the Lloyd's CZ risk code – primary and excess, though the main markets who have Primary capabilities are:

Insurer	Maximum Capacity	Product
Axis Syndicate	Up to \$25m	Standalone Cyber Property Damage option
Brit Syndicate (BCAP facility)	Up to \$100m	- Combined option of Cyber & Cyber Property Damage on their BCAP policy - No standalone option
Canopus Syndicate	\$10m	- Combined option of Cyber & Cyber Property Damage - Standalone Property Damage option - Property DIC option with their affirmative Property Damage endorsement
EmergIn	\$10m	Combined option of Cyber & Property DIC option
Munich Re Syndicate	Up to \$50m, but up to \$200m for Stream	- Combined option of Cyber & Cyber Property Damage - Stream: - Combined option of Cyber & Cyber Property Damage, or - Standalone Cyber Property via Munich Re Stream
TokioMarineKiln Syndicate	Up to \$25m	- Combined or standalone option of Cyber & Cyber Property Damage - Can have differing limits of Cyber and Cyber Property Damage within the total aggregate limit

The CZ market is developing and moving into different classes with solutions to provide alternative options where cyber exclusions are being added or clients are concerned with the wider exposure. Examples of this are Cargo, Hull & Machinery and Construction.

INFORMATION REQUIRED

The Insurers can provide a non-binding indication with limited information, such as:

- The Insured's cyber submission,
- Annual revenue or turnover,
- Statement of values,
- The Insured's property policy.

To provide a bindable quotation underwriters will require the information above and, at a minimum, either a specific Operational Technology or Cyber Property Damage application completed and/or a separate underwriting call with the client.

CONTACT US

For more information on how we can help you or your client please refer to our key contacts:



William Wright

Partner and Director

E: wwright@paragonbrokers.com

D: +44 (0)207 280 8252

M: +44 (0)790 096 8894



Lyndsey Bauer

Partner

E: lbauer@paragonbrokers.com

D: +44 (0)207 280 8228

M: +44 (0)779 230 6783



Rob Layzell

Partner & Head of Cyber

E: rlayzell@paragonbrokers.com

D: +44 (0)207 280 8285

M: +44 (0)782 763 4244